

Example of a Public Servant retiring at age 60

- Date of Retirement: January 12, 2015
- Date of Birth: January 12, 1955
- Age at Retirement: 60
- Employment Commenced: October 9, 1973
- Annual Salary: EC\$157,476.00

Service Dates: Two (2) Formulas

1. Service from **October 9, 1973 to December 31, 2003** = 362 months (30 years, 2 months). Please note that only full months count, meaning employment must commence on the 1st of the month.

a. $362/600 \times 157,476 = \text{Full Pension}$

Developer: - We didn't include October 1973 month due to he has joined from dated 9 October 1973.

Question: - What will happened if he would retired on dated 15 or 16 December 2003 or I mean any dated expected 31 December 2003. Should it be?

October 9, 1973 to December 18, 2003 = 361

Or

October 9, 1973 to December 18, 2003 = 362

Question: - Service from **October 9, 1974 to December 31, 2004** = 362

a. $362/600 \times 157,476 = \text{Full Pension}$

or

b. $362/960 \times 157,476 = \text{Full Pension}$

2. Service from **January 1, 2004 to January 12, 2015** = 132 months (11 years). Any month(s) from January 1, 2004, in which no contributions are made are deducted from the total months of

pensionable service = 132 - months with no contributions = total months)

a. $132/960 \times 157,476 = \text{Full Pension}$

Gratuity Option and Reduced Pension at Retirement

Gratuity = Full Pension $\times 12.5 \times 0.25$

Developer: - Full Pension is calculated from above formula

Reduced Pension = Full Pension $\times 0.75$

Question: - What is the meaning of reduced pension?

IMPORTANT POINTS

- ✓ Maximum Full Pension = $2/3 \times \text{Annual Salary}$
- ✓ Therefore if the total of 1 & 2 above exceed $2/3$ of the salary, then the maximum is applied.

Example of a Public Servant retiring at age 65

- Date of Retirement: January 12, 2015
- Date of Birth: January 12, 1950
- Age at Retirement: 65
- Employment Commenced: January 1, 2004
- Annual Salary: EC\$157,476.00

Service Dates: One (1) Formula

1. Service from **January 1, 2004 to January 12, 2015** = 132 months (11 years). Any month(s) from January 1, 2004, in which no contributions are made are deducted from the total months of pensionable service = 132 - months with no contributions = total months)

b. $132/960 \times 157,476 = \text{Full Pension}$

Gratuity Option and Reduced Pension at Retirement

Gratuity = Full Pension x 12.5 x 0.25

Developer: - Gratuity = 21652.95 (Full Pension Calculated) x 12.5 x 0.25 = 67,665.46875

Reduced Pension = Full Pension x 0.75

Developer: - 21652.95 x 0.75 = 16,239.7125

IMPORTANT POINTS

✓ Maximum Full Pension = $\frac{2}{3}$ x Annual Salary

Developer: - Maximum Full Pension = $\frac{2}{3}$ x 157,476 = 104,984

✓ Therefore if the total of 2 above exceeds $\frac{2}{3}$ of the salary, then the maximum is applied.